

21 Sep 2026 04:31:04 ET | 10 pages

Hon Precision (7769.TW)

Competition landscape remains unchanged with leading position in AI FT and AI ASIC SLT handler market; Reiterate Buy

CITI'S TAKE

Hon's share price is down c8% today amid investor concerns indicating potential share loss at AI ASIC SLT projects as its competitor's qualification of SLT equipment is progressing well recently at major OSATs client's side. However, we believe the market concerns are overdone as Hon has already secured the current generation SLT project for key AI ASIC. For future generations, with elevated TDP requirement, we expect its market-leading capability in thermal management should allow it to remain as the major SLT handler supplier for AI ASIC projects. We see the current share price pull-back creating an enhanced buying opportunity as we see sequential QoQ sales growth momentum into next year supported by its new capacity addition from 4Q26. With stronger capacity growth (+50% YoY) and more content value expansion in 2027 mainly on growing adoption of large tray handler design, we estimate Hon's 2027/28 earnings to grow 86%/74%. Retain Buy.

Buy

Price (21 Sep 26 13:30)	NT\$6,000.00
Target price	NT\$11,000.00
Expected share price return	83.3%
Expected dividend yield	0.6%
Expected total return	83.9%
Market Cap	NT\$1,079,580M US\$33,971M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Hon Precision

Valuation

Our target price of NT\$11,000 is based on a target PER multiple of 36x applied to the average of our 2027E/28E EPS estimates. Our PER target of 35x is set at 1-std above its 1-year PER average, justified by its high share of the AI/HPC testing handler market, which we estimate could support an earnings CAGR of 77% in 2025-28, higher than its 3-year CAGR at c40% in 2022-25. Our estimated 77% earning CAGR is also higher than the +40% average (Bloomberg consensus) of its global testing equipment peers. As its peers have been trading at average 36x PER on 2027/28 consensus EPS in the past 1 year, we believe Hon Precision deserves a further re-rating to our target PER of 36x.

Risks

Our quantitative risk rating system, which looks at historical share price volatility, rates Hon Precision High Risk. However, we are not assigning a High Risk rating as we forecast an earnings CAGR of >75%, significantly stronger than the growth outlook for its global peers. Also, we note its dominant position in AI/HPC handler market and expanding market TAM opportunity, which support our constructive view over its growth outlook.

Key downside risks that could impede the shares from reaching our target price: 1) Global AI demand slowdown driving weaker capacity build for semiconductor equipment; 2) unexpected share losses at its major AI projects; 3) slower-than-expected capacity ramp at its new facilities, or the company taking a long time to find/secure new sites; 4) slower-than-expected development of its CPO business; 5) shorter-than-expected testing time leading to lower demand for its products; 6) weak adoption of high-premium cold plate products; and 7) increasing competition from new entrants.

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Appendix A-1

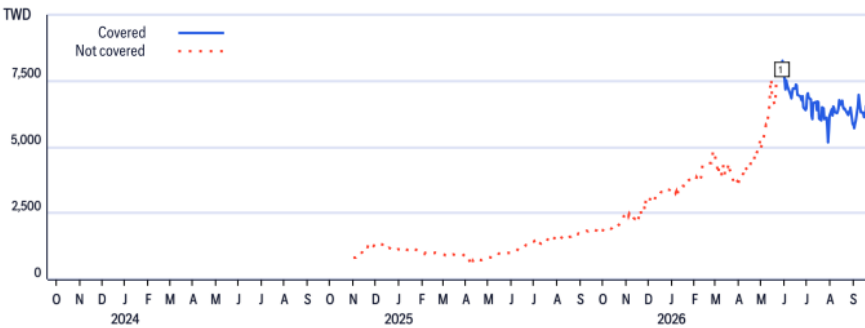
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Hon Precision (7769.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Nicholas Lai



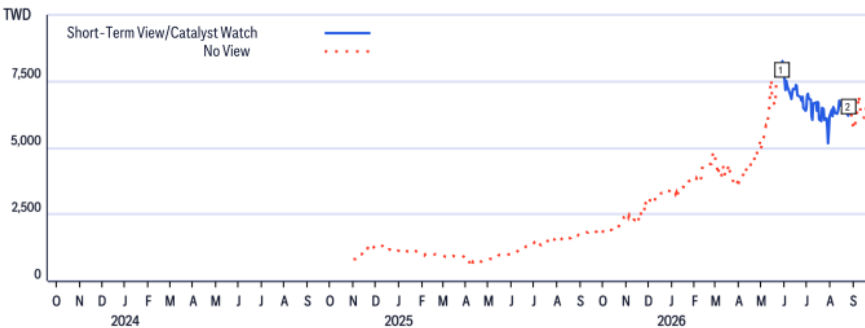
	Date	Rating	Target Price	Closing Price
1	28-May-26 19:34:47	*1	*11,000.00	7,700.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Hon Precision (7769.TW)
Short-Term View/Catalyst Watch Research

Analyst: Nicholas Lai



	Date	Action	Expected Direction	Duration	Closing Price
1	28-May-26 15:34:47	Add CW	Upside	90 Days	7,700.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	26-Aug-26 21:35:39	Remove CW	Upside	90 Days	6,335.00

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